ALIGNING OUR STRATEGY, BUSINESS IMPROVEMENTS AND ENVIRONMENTAL IMPACT

What we do matters.

While building an even more valuable business, we are also making a positive contribution to the future of our planet by reducing our carbon footprint and helping our customers do the same.

Reaching our Carbon Targets

Our fiscal 2022 environmental focus was on improving our operations, including packaging and shipping, painting, advancing our products and solutions, and investing in renewable energy.

To remain carbon neutral, we continue to lower emissions from our operations and are reducing the need to purchase offsets. We decreased our emissions by 6.3% per year on average from fiscal 2019 to fiscal 2022. Our carbon reduction progress compares favorably to the 4.2% annual reduction expected by the SBTi methodology.

Committed to New Science-Based Targets and Improving Our Own Bottom Line

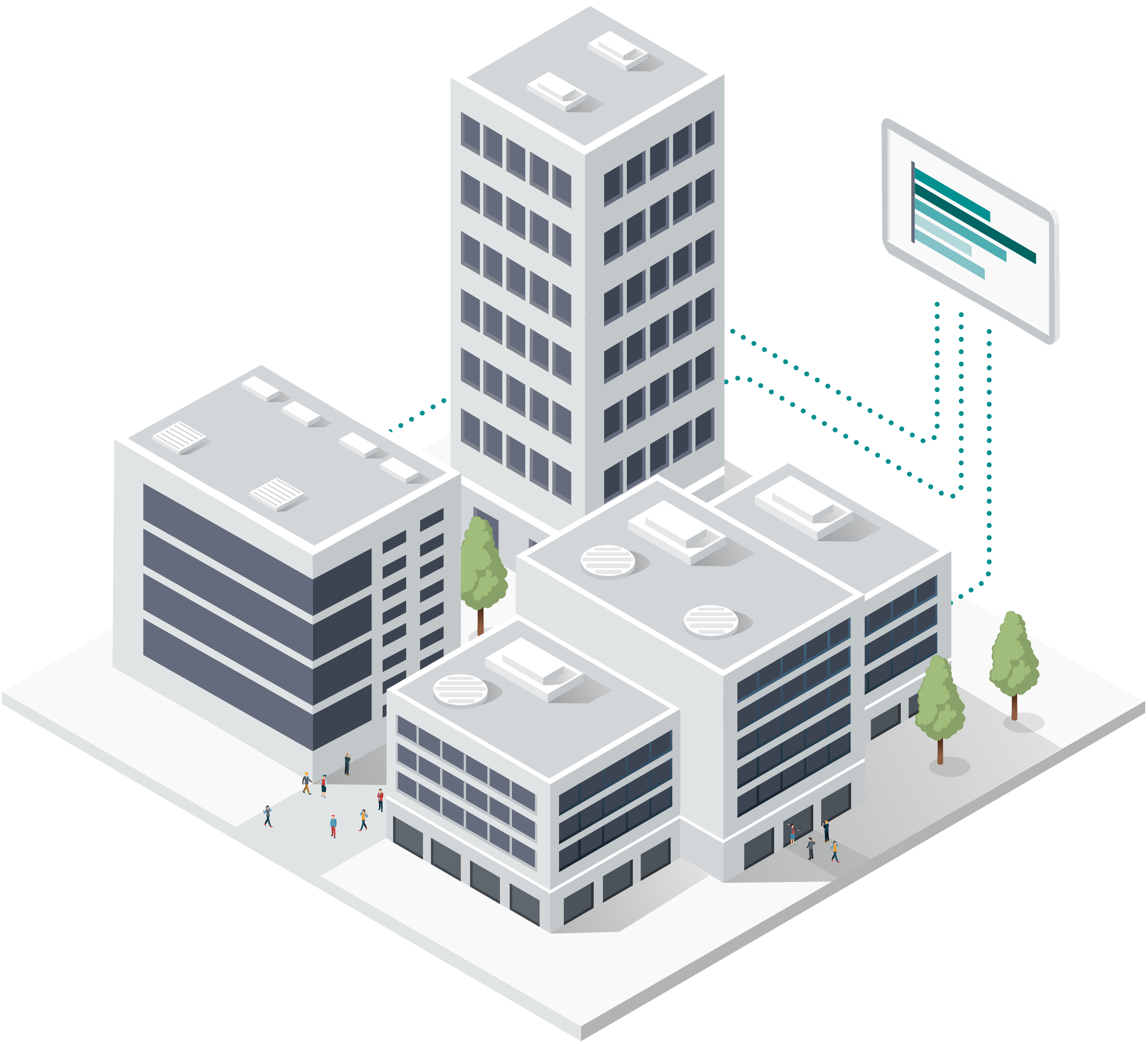
We are committed to establishing new science-based targets focused on reaching Net Zero by 2040. Using science-based targets, we are driving emissions reductions and establishing Net Zero targets in line with SBTi and current climate science consensus. We use many of our own lighting, lighting controls, and building management solutions in this effort to reduce energy usage and avoid carbon emissions while reducing our costs and improving our operating environment. By using these solutions in our own operations, we also demonstrate the many opportunities for our customers.

Some of the areas we are focusing on to achieve our Net Zero goal by 2040 are:

Reducing Scope 1 and 2 Emissions – Scope 1 emissions include direct emissions from our owned or controlled sources. Scope 2 emissions include indirect greenhouse gas emissions from the generation of the energy we purchase. Tackling our emissions head-on requires us to reduce carbon emissions from many parts of our operations. We are reducing energy consumption in our offices, production facilities, and distribution centers. We also plan to utilize more renewable energy, explore alternatives to reduce our current natural gas usage in our operations, and continue making prudent offset investments to reduce atmospheric carbon.

Reducing Scope 3 Emissions – Scope 3 emissions include all indirect emissions resulting from upstream and downstream activities by others in the value chain, including material sourcing, production, consumption, use, and disposal/recycling processes. Our customers' use of our long-lasting, energy-efficient solutions comprises the largest part of our footprint. We plan to use technological advances to make our LED lighting products even more energy efficient. We anticipate that our strategy to increase the sales of lighting controls technology will help further reduce carbon emissions through end-user energy optimization. We plan to discontinue certain legacy products, and we anticipate that future technological advances in power generation and other areas will play a critical role in curbing emissions.

> In addition to our focus on emissions from the use of our sold products – our largest category of Scope 3 emissions – we are working to reduce our indirect emissions from waste, raw materials, commuting, and freight.



Atrius® Building Insights: portfolio-wide energy performance at a glance.

Topic	SASB Accounting Metric	Code	Acuity Fiscal 2022 Data
Intellectual Property Protection & Competitive Behavior	Total amount of monetary losses as a result of legal proceedings associated with anticompetitive behavior regulations	TC-SI-520a.1	$0 USD
Managing Systemic Risks from Technology Disruptions	Number of (1) performance issues (2) service disruptions, (3) total customer downtime	TC-SI-550a.1	(1) 2 performance issues; (2) 5 service disruptions; (3) 1 day, 18 hours of downtime that may have affected at least one customer with a cloud subscription. Acuity does not track total downtime on a per impacted customer basis.
	Description of business continuity risks related to disruptions of operations	TC-SI-550a.2	See pages 10-14 of the fiscal 2022 10-K.
Activity Metrics	(1) Number of licenses or subscriptions, (2) percentage cloud-based	TC-SI-000.A	(1) 1,498 subscriptions, (2) 100%. Acuity's primary software product strategy is offering SaaS subscriptions. There are, however, (a) a small number of active licenses of legacy software products that are no longer being offered for sale and (b) certain licenses of mobile device apps and desktop applications, from which Acuity does not directly derive material income, which are licensed to support the sale of other products.
	(1) Data processing capacity, (2) percentage outsourced	TC-SI-000.B	(1) 6.6THz processing capacity (2) 30% cloud.
	(1) Amount of data storage, (2) percentage outsourced	TC-SI-000.C	(1) 4.2PB storage (2) 50% cloud.

ACUITY'S CARBON FOOTPRINT

This report covers fiscal 2022 results, and includes estimates and assumptions collected from September 1, 2021 to August 31, 2022. These figures have been externally verified by a third-party auditor. See verification statement on the following pages.

Scope	Category	Emissions (MT CO_2e)	Emissions Methodology
Total Scope 1		**34,327**	
Total Scope 2		**42,234**	Market-based
Part 1	Purchased Goods & Services	1,765,189	Spend-based method; Average-data method
Part 2	Capital Goods	35,556	Spend-based method
Part 3	Fuel & Energy-Related Services	28,695	Average-data method
Part 4	Upstream Transportation	55,784	Distance-based method; Spend-based method
Part 5	Waste Generated in Operations	2,572	Spend-based method; Waste-type-specific method
Part 6	Business Travel	3,234	Distance-based method; Spend-based method
Part 7	Employee Commuting	8,767	Distance-based method
Part 8	Leased Assets	-	n/a
Part 9	Downstream Transportation	62,866	Distance-based method; Spend-based method
Part 10	Processing of Sold Products	-	n/a
Part 11	Use of Sold Products	33,136,905	Direct use-phase calculation methodology. NOTE: We have revised our FY21 baseline downward (to 27,651,800) to reflect average US grid emissions based on the Energy Information Administration's Annual Energy Outlook.
Part 12	End-of-Life Treatment of Sold Products	19,669	Waste-type-specific method
Part 13	Leased Assets	-	n/a
Part 14	Franchises	-	n/a
Part 15	Investments	182	Average-data method
Total Scope 3		**35,119,419**	
Total Scope 1+2+3		**35,195,980**	

DNV

STATEMENT

Introduction

DNV Business Assurance USA, Inc. (DNV) has been commissioned by the management of Acuity Brands Inc. (Acuity) to carry out an independent verification of its GHG emissions (*Scope 1, 2, and 3*). These assertions are relevant to the 2022 fiscal year (FY): 1 September 2021 to 31 August 2022.

Verification Objective

The objective of this verification is to verify conformance with applicable verification criteria, including the principles and requirements of relevant standards or GHG programmes, within the scope of the verification; The organization's GHG emissions inventory; any significant changes in the organization's GHG emissions inventory since the last reporting period; and the organization's GHG-related controls.

Verification Scope

FY 2022 Greenhouse Gas (GHG) emissions inventory Scope 1, 2, and 3.

Global sites, physical infrastructure, activities, technologies & processes of the organization.

Verification Level of Assurance

The verification was conducted by DNV to a limited level of assurance.

Materiality Level

Errors / omissions which represent an aggregated 5% of total emissions were considered material for Scope 1, 2, and 3.

Qualifications

Scope 3 Category 11 (Use of Sold Products) are based on the reasonableness of assumptions provided by Acuity. These include the estimated standard lifespan of products, the location of the usage of sold products and therefore the grid emissions factors used, as well as the market assumptions for type of usage (example commercial versus residential) which is based on third party reports and data.

Verification Criteria

- World Resources Institute (WRI)/World Business Council for Sustainable Development (WBCSD) Greenhouse Gas Protocol, Corporate Accounting and Reporting Standard (Scope 1 & 2)
- World Resources Institute (WRI)/World Business Council for Sustainable Development (WBCSD) Supplement to the Greenhouse Gas Protocol Corporate Accounting and Reporting Standard, Corporate Value Chain Accounting and Reporting (Scope 3) Standard.

Verification Protocols

- ISO 14064-3: 2019: Greenhouse gases—Part 3: Specification with guidance for the verification and validation of greenhouse gas statements.

Operational Boundary

- Operational control
- Global sites, physical infrastructure, activities, technologies & processes of the organization across two business segments Acuity Brands Lighting and Lighting Controls (ABL) and Intelligent Spaces Groups (ISG) and their facilities, including:
    - Manufacturing facilities;
    - Warehouses;
    - Distribution centers; and,
    - Offices.
- FY 2022 Reporting Period: 1 September 2021 to 31 August 2022.

Data Verified

Greenhouse Gas Emissions

FY 2022 Scope 1 Emissions	34,327 ($MtCO_2e$)
FY 2022 Scope 2 Emissions (Location based)	46,637 ($MtCO_2e$)
FY 2022 Scope 2 Emissions (Market based)	42,234 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Purchased Goods and Services	1,765,189 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Capital Expenditures	35,556 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Fuel & Energy Related Services	28,695 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Upstream Transportation and Distribution	55,784 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Waste Generated in Operations	2,572 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Business Travel	3,234 ($MtCO_2e$)

FY 2022 Scope 3 Emissions: Employee Commuting	8,767 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Downstream Transportation and Distribution	62,866 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Use of Sold Products	33,136,905 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: End-of-Life Treatment of Sold Products	19,669 ($MtCO_2e$)
FY 2022 Scope 3 Emissions: Investments	182 ($MtCO_2e$)

Assurance Opinion

Based on the verification process conducted by DNV, we provide a Limited Assurance of the GHG Emissions Inventory for Acuity. DNV found no evidence that the assertion:

- is not materially correct;
- is not a fair representation of the GHG emissions information; and
- is not prepared in accordance with the *Verification Criteria.*

Independence

DNV was not involved in the preparation of any part of Acuity*’s* data or report. We adopt a balanced approach towards all stakeholders when performing our evaluation.

DNV Business Assurance USA, Inc.
DATE

Lead Verifier
Kevin Poirier

Technical Reviewer
Weidong Yang

Approver
David Tellez
Regional Manager Supply Chain &
Assurance Services

The purpose of the DNV group of companies is to promote safe and sustainable futures. The USA & Canada Sustainability team is part of DNV Business Assurance, a global provider of certification, verification, assessment and training services, helping customers to build sustainable business performance. www.dnvglsustainability.com